

before changing price level. But that is not what they do. And the reason they trend is because our minds just don't work properly. We make an estimation of the future based on all the knowledge we have of the past at the current moment. We remember the past in bullet point form. We'll never remember this conversation verbatim; we'll remember bullet points. All the things that are happening currently, we have a high level of detail on because they are instantaneous and all around us. It turns out that when you recall the past, you have lots of gaps because you only retain an edited summary of it. You fill in those gaps the same way you fill in a wall with plaster. The material with which you fill in the gaps in your past recollections is called *today*. So how you feel today, whatever you are thinking today, whatever is going on today is what you're going to use to fill in the gaps in the past.

It is well known that people misremember the past. There is a famous experiment in which about 200 people watch a slide sequence of a car going to the end of a street, turning right, and then hitting a pedestrian. Half the group see slides with a stop sign at the end of the street, and the other half see a similar set of slides with a yield sign. The subjects are then asked some questions about what they saw. Within each group, half the subjects are asked one question that refers to a stop sign, while the other half are asked the same question with a reference to a yield sign. All the participants are then shown two nearly identical slides and asked to pick the slide they saw. The only difference between the two slides is that one has a stop sign and the other a yield sign. A large majority of the people who were asked a question that contradicted what they saw (a reference to a stop sign when they saw a yield sign or vice versa) misidentified the slide they actually saw. The point is that once they are presented with contradictory information, the majority of people misremember something that they watched only a few moments ago because they use the more recent information to fill in what they can't remember exactly, or at least are not 100 percent sure of. They are filling in the gaps in their bullet point memory of the past with information from the current moment.

If the market is going up today, your forecast is going to be that it will continue going up because it is how you feel at the moment that is the